Smart Sync Services

Veranda Learning Solutions Limited

CMP – ₹230

Education Technology(Ed-Tech)

NSE: VERANDA **BSE: 543514**

08th August, 2025

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SMART SYNC SERVICES

Veranda Learning Solutions Limited

Education Technology(Ed-Tech)

BUY

CMP (₹) - 230

August 08, 2025

Veranda 2.0: Unlocking Value Through the JKSC Demerger

Executive Summary :

Veranda Learning Solutions Ltd (Veranda) stands at an inflection point as it transitions from an acquisition-led strategy (Veranda 1.0) to a streamlined, synergistic growth path (Veranda 2.0). Anchored by the demerger of its high-margin commerce education vertical into JK Shah Commerce Education Ltd. (JKSC), Veranda is positioning itself for superior capital efficiency, operational clarity, and enhanced shareholder value.Management targets to grow the commerce vertical 5–7x in 4–5 years backed by sector tailwinds, course expansion, geographic reach, and online scaling.

The demerger unlocks the value of Veranda's dominant commerce test prep brands (JK Shah, BB Virtual, Tapasya, Navkar Digital), which will form JKSC–a debt-free, independently listed entity. The remaining business retains robust segments in Academic, Government Test Prep, and Vocational/Skilling, with strong growth potential.

Investment Rationale

Veranda 2.0 – Strategy Shift to Capital Efficiency :

- Transition from M&A-heavy Veranda 1.0 to Veranda 2.0(Demerger of commerce vertical) focused on:
  - Organic growth
  - Margin expansion
  - Capital-light scalability
- Asset-light models launched across K-12 and vocational verticals; platform integration completed.

Strengthened Balance Sheet & Capital Efficiency

- Successful QIP in FY25 and deployment of ₹357Cr for debt repayment has driven net debt sharply lower (from ₹400Cr to ₹80Cr), enhancing capital efficiency and freeing up cash for growth initiatives.

Distinct Strategic Focus for Each Entity

- **JKSC (Commerce):** Debt-free, focused on high-margin, scalable commerce/professional test prep with international expansion (CMA USA, ACCA, CPA) and strong market leadership in CA coaching.
- **Veranda (Non-Commerce):** Focused on academic (K-12), government exams, and vocational skilling, with measured growth, asset-light expansion, and digital platform upgrades.

Margin Expansion and Profitability Inflection

- Gross margin improvement YoY is driven by higher online mix and scale benefits. Management is guiding for ~39–40% EBITDA margin for JKSC post-demerger, with consolidated EBITDA margin set to climb to 26.7% in FY26E (from ~21.5%).

Stock Data

NSE	VERANDA
Market Cap (₹ Cr.)	2,172
52 W High / Low	366/185
Avg. Daily Vol. (3M)	1,63,947

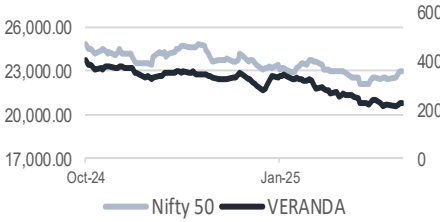
Source: Company, Investing

Shareholding Pattern (%)

	Jul-25	Jun-25	Mar-25
Promoter	41.8%	52.6%	53.4%
FII	7.3%	1.4%	0.9%
DII	2.1%	0.1%	0.1%
Others	48.8%	45.9%	45.6%

Source: Company, Screener

Price Performance (Preceding 6 Months)



Source: NSE

Please refer to disclosures at the end of the Research Report

Synergistic Brand Portfolio and M&A Execution

• Strategic acquisitions (JK Shah, Navkar, Tapasya, Logic School) transformed Veranda into a full-spectrum education provider. Integration of these founder-led, market-leading brands drives cross-selling, synergies, and defensible market positions.

High-Growth, Diversified Model

• Commerce Test Prep is expanding at 22% YoY, government test prep at 29% CAGR, academic K-12 at 25% CAGR, and vocational at 20% CAGR .Presence in 200+ offline centers and a 2.5L+ annual student base provides strong growth visibility.
• Government Test Prep is scaling in Karnataka and Kerala; TNPSC notification (Apr'25) to boost FY26 demand.
• K-12 expansion through asset-light college management model in Tier 2/3 cities.
• Vocational vertical launching AI/DBA/MBA programs with global reach.

Category Leadership in Commerce Test Prep

• JKSC houses India's most established commerce prep brands: JK Shah, BB Virtual, Navkar, Tapasya.
• Commerce vertical posted ₹281 Cr in FY25 revenue, projected to grow to ₹344 Cr in FY26E (~22% YoY growth).
• ~40% EBITDA margin makes it one of the most profitable segments in the education sector.
• Enrollments: 1.58L (FY24) → 2.58L (FY25), CAGR >25%.
• 200+ centers across India; expanding hybrid delivery via BB Virtual and Navkar platforms.
• Expanding into global certifications: US CMA, ACCA, CPA – high-margin, high-ticket offerings.

Regulatory and Macro Tailwinds

• Alignment with NEP 2020, government push for digital and skilling, and a large, growing market for professional and competitive exam prep provide a strong secular growth backdrop.

Robust Financial Outlook

• Management guidance targets FY26E revenue of ₹672Cr and EBITDA of ₹180Cr (margin ~27%), with PAT set to nearly triple YoY. Leverage reduction and enhanced profitability support a strong rerating case.

Industry Tailwinds:

• Indian EdTech market at USD 7.5 billion in 2024, expected to grow at a CAGR of ~25.8%, reaching USD 29 billion by 2030 offering significant opportunities for Veranda's diversified offerings.(Source: IMARC Report)
• In the Ed-Tech Sector, the online education market is expected to grow at 23.06% CAGR (2024-29) from $6.71 billion in 2024 to $18.95 billion in 2029.
• Strong Demand Drivers: 1 million finance professionals required in India over next 5 years (NSDL), 30 lakh CA demand over 20 years (ICAI).

Veranda 1.O: Acquisition-driven Scale-up

During Veranda 1.0, the company built a robust portfolio of marquee brands – including J.K. Shah Classes, BB Virtuals, Navkar Digital, Tapasya College of Commerce, and Logic School of Management – significantly expanding its footprint in commerce test prep and across the full academic lifecycle.

Strategic Implications

Transition Leverage: Having amassed an integrated education platform via acquisition, Veranda laid the groundwork for the next phase–Veranda 2.0, which shifts focus to organic scaling, operational synergies, and vertical consolidation.

Operational Foundation: Veranda 1.0 established diversified revenue streams and operational scale across commerce education, K-12, government exam prep, skills training, and professional upskilling–creating a platform for deeper market penetration in the next cycle

What Veranda 1.0 Enables

The successful execution of Veranda 1.0 positions the company to:
- Drive cost synergies, cross-selling, and margin expansion.
- Accelerate digital delivery, regional expansion, and global certification-based offerings.
- Move into Veranda 2.0: de-leveraging, vertical focus, and unlocking standalone equity value through demerger of high-margin commerce vertical.

Veranda offers a wide variety of courses, from K-12 to Professional-level education, Test Preparation, and Professional Skills & Upskilling.

Exhibit 1: Key segments of courses offered

K-12

Teacher training programs, curriculum development, extracurricular activities and counselling

Test Preparation

Civil Services, Banking, Government Job, Law Entrance and Professional commerce qualification exams

Undergraduate Courses

Management and Commerce, skills for professional accounting, practical training

Professional Skill Development

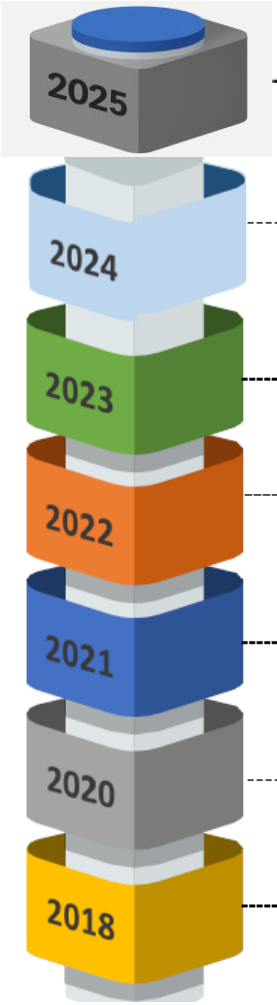
Technical Upskilling, Soft Skills Training and Employability Training

Higher Education

Specialized training and career guidance, courses in Management, Technology, Leadership, and Marketing

Source: Company, Smart Sync Services

Exhibit 2: Journey of Veranda 1.0



- **Feb 2025:** Acquired Navkar Digital and BB Virtual
- Signed MOU with IIT Madras

- **Apr 2024** : Promoter share warrants - 20 lakh shares issued to promoters at 70% premium (Rs.307)
- **Mar 2024** : Raises ~INR 425 crs via unlisted NCDs from BPEA credit for repayment of existing loans and acquiring Tapasya

Expansion

- **Jan 2023:** Business Transfer Agreement with Chennai Race
- **May 2023:** Announces acquisition of 6 new companies
- **Jul 2023:** Announces partnership with Sridhar CCE and Logic School of management
- **Dec 2023** – Announces to acquire Tapasya

IPO Listing & New Acquistions

- **Apr 2022:** Company was listed on BSE & NSE at INR 137
- **Oct 2022:** Acquired J. K. Shah Classes

New Launches

- **Jul 2021:** Started CA courses
- **Aug 2021:** Started offering courses for UPSC preparation
- **Sep 2021:** Acquired Edureka, enabling Veranda to establish global footprints

Key Acquisitions

- **Dec 2020:** Acquired Content, brand, education materials through Veranda Race; & therafter commenced operations
- **Dec 2020:** launched own mobile app comprising all integrated courses

Incorporation

- **Nov 2018:** Company was incorporated with registered office in Chennai

Source: Company, Smart Sync Services

Exhibit 3: Rationale behind Veranda's Key Acquisitions

Company	Age Category	Background	Month of Acquisition	Extent of Shareholding	Rationale
			Academic		
Veranda K-12	till 17	5+ locations, 550+ team members, 5500+ learners, 200+ classroom Higher EBITDA Margins	Aug-23	76.00%	Acquiring Veranda K12 Infra would enable Veranda to directly enter the K-12 primary education segment, which represents the largest education market.
TAPASYA	17-22	15000+ students, 23+ Branches, 600+ Faculty, 5000+ students placed	Jan-24	50.00%	Acquiring Tapasya, a leading commerce college in Hyderabad and Bengaluru, will aid Veranda in its strategic expansion into new geographical areas.
			Vocational		
SIX PHRASE	more than 22	14,00,000+ students trained in 13 years, 1,50,000+ every year, 300+ universities and colleges trained	Jul-23	98.00%	Acquiring Six Phrase would grant Veranda Learning access to its extensive network of over 300 colleges, enabling other brands to leverage this relationship for cross-selling opportunities.
edureka!	more than 22	Reputed educational platform for technology professionals, 168+ B2B Partnerships	Sep-21	100.00%	By acquiring Edureka, Veranda aims to address the IT skills gap with a strong presence in new-age technology courses, while also expanding into offline centers for broader impact.
Phire	more than 22	Leading Player in Fresher's placement in BFSI, 38% EBITDA Margin	Jul-23	99.98%	The acquisition of Phire was a strategic move for Veranda Race, enabling vertical integration in the BFSI (Banking, Financial Services, and Insurance) training and placement segment.
			Test Prep		
Veranda RACE	17-22	Largest test prep player in South India for Govt exams, 2 out of 3 bank openings in Tamil Nadu are filled by RACE students	NA	100.00%	With the acquisition of Race, Veranda has solidified its strong position in the government exam preparation segment. Subsequently, the company acquired Sreedhar CCE, another test prep player with a presence in Andhra Pradesh and Telangana.
TALENT	17-22	10,000+ official govt. job selections since 2012, 5000+ top rankers in various Kerala PSC exams	May-23	100.00%	Veranda Race's acquisition of Talent positions it as a leader in PSC, SSC, RRB, and related segments in Kerala, while Talent's content and publication business offers Veranda opportunities for nationwide expansion.
J.K. SHAH CLASSES	17-22	40 years of legacy, 50,000+ students enlightened every year, 99 branches in India	Nov-22	76.00%	The acquisition of JK Shah represents a significant breakthrough for Veranda, allowing it to tap into high-demand courses such as chartered accountancy and a variety of commerce-related courses.

Source: Company, Smart Sync Services

Veranda 2.0: Strategic Reset and Execution Roadmap

1. Strategic Restructuring Under 'Veranda 2.0' Vision

As part of its broader 'Veranda 2.0' strategic vision, Veranda Learning Solutions(VLS) has initiated a comprehensive restructuring of its Commerce vertical thereby demerging its Commerce Test Prep into a Separate Listed company(called JK Shah Commerce Education Limited – JKSC) wherein the existing shareholders of VLS will receive shares in direct proportion of their holding in VLS at the time of demerger.

This move is designed to unlock long-term value, streamline operations, and foster faster, more agile growth in one of the most competitive and opportunity-rich education segments in India. Through this transformation, Veranda aims to build independently focused business units capable of pursuing tailored growth strategies, supported by strong brand equity and operational synergies.

Company is prioritising the expansion of all Mumbai-based courses to nationwide centres and the BB Virtual online platform.

VLS Currently does commerce business across the following entities:

J.K. SHAH CLASSES

- Commerce Competitive exam coaching .
- Rankers Factory for CA and other professional courses.
- 214+ CA rankers since 2016.

BB VIRTUALS Student's Portal

- India's leading Online Commerce Competitive exam coaching .
- Rankers Factory for CA and other professional courses.
- 40 ranks in All India Top 50 for CA final exams

TAPASYA COLLEGE OF COMMERCE & MANAGEMENT

- Management Services to colleges.
- 17 intermediate pre university colleges & ~17000 students
- Network of 17+ campuses with 25 more campuses in the pipeline

NAVKAR INSTITUTE

- Commerce Competitive exam coaching .
- Leading Presence in Gujarat

LOGIC SHAPING EXPERTS

- Commerce Competitive exam coaching in Kerala
- Platinum Partner member with CMA USA

2. Acquisition of Remaining Stake in Veranda XL Learning Solutions

In a significant step towards simplifying the group structure, Veranda Learning will acquire the remaining 24% equity stake held by Prof. J.K. Shah in Veranda XL Learning Solutions—the core entity in its Commerce portfolio. Upon completion of this transaction, Veranda XL will become a wholly owned subsidiary of Veranda Learning. This full ownership is a critical preparatory move ahead of the anticipated demerger of the vertical, enabling greater structural clarity and autonomy for future strategic maneuvers.

3.Strengthening the Balance Sheet through Debt Repayment

Aligned with the objectives set under the Company's recent Qualified Institutional Placement (QIP), Veranda has earmarked a substantial portion of the proceeds for financial optimization. Specifically, the funds will be utilized to redeem the senior, secured, unlisted, redeemable, non-convertible debentures (NCDs) issued by Veranda XL Learning Solutions to Ascertis Credit (formerly Barings Private Equity Asia). This transaction is expected to significantly reduce the debt burden of the subsidiary, positioning it on a near-debt-free trajectory and improving cash flow visibility across the vertical.

4. Consolidation of Leading Commerce Education Brands

Under this restructuring, Veranda aims to consolidate its top-performing commerce-focused brands–including J.K. Shah Classes, BB Virtuals, Navkar Digital Institute, Tapasya College of Commerce, and Logic School of Management–under one unified platform. This integrated structure will focus on delivering premier test preparation for CA, CS, CMA, and ACCA exams. With decades of legacy and a track record of producing thousands of Chartered Accountancy rankers nationwide, the realignment will enhance brand leverage, academic excellence, and cross-sell opportunities within the segment.

Strategic Demerger of JK Shah Commerce Education Ltd.(JKSC)

Corporate Restructuring Highlights :

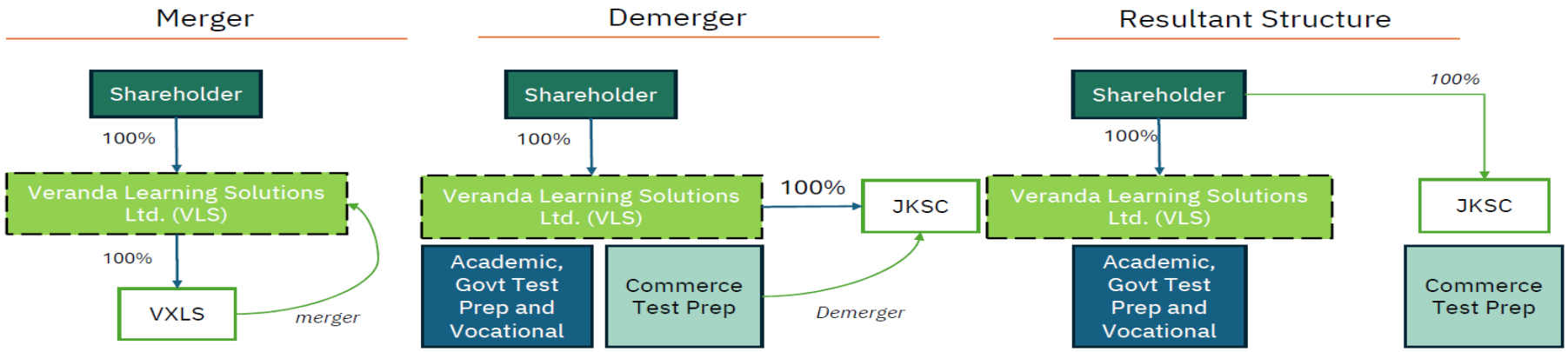
As part of a strategic reorganization initiative, Veranda Learning Solutions Ltd (VLS) has proposed a composite scheme of arrangement involving the following key steps:

1. Amalgamation of Veranda XL Learning Solutions Pvt Ltd (a wholly-owned subsidiary of VLS) with its parent entity, resulting in the consolidation of operations under Veranda Learning Solutions Ltd.

2. Demerger of the Commerce Test Preparation Business of VLS into J.K. Shah Classes Ltd (JKSC), subject to approval by the National Company Law Tribunal (NCLT). This step aims to unlock value and operational focus in the commerce test prep vertical.

3. Post demerger, equity shares held by VLS in JKSC shall be cancelled, and JKSC will issue shares directly to the existing shareholders of VLS. This will ensure that 100% of JKSC's equity is held directly by VLS shareholders, thereby enabling a mirror shareholding structure and enhancing transparency for investors.

Exhibit 4: Proposed Merger and Demerger Structure



Source: Company, Smart Sync Services

Demerger Rationale and Strategic Objectives

1. Creation of a Focused and Independent Growth Platform

- JK Shah Commerce Education Ltd. (JKSC)–Veranda's commerce test preparation business–is being demerged into a separate listed entity.
- The Commerce vertical has a distinct business model, brand identity, and margin profile (~40% EBITDA) compared to Veranda's other verticals (government test prep, academic K–12, and vocational skilling).
- The standalone structure allows tailored strategies aligned to industry-specific dynamics, particularly global certifications (CA, ACCA, CMA, CFA) and expansion into North and West India.

2. Strategic Clarity and Operational Autonomy

- Demerger enables sharper strategic focus, allowing each entity to set independent capital allocation priorities, build vertical-specific leadership teams, and innovate more quickly.
- JKSC can scale faster through hybrid models, expanding in Tier 2–3 cities and globally (notably through CMA-US, ACCA, and CPA offerings).

3. Capital Structure Optimization and Financing Flexibility

- JKSC will be incorporated as a debt-free entity, allowing full reinvestment of free cash flows into growth.
- It will have the flexibility to raise capital independently–either through strategic partnerships, IPO proceeds, or private placements–tailored to its risk-return profile.

This structure enables enhanced fundraising efficiency and the attraction of sector-focused investors.

4. Shareholder Value Unlocking via Re-Rating

The demerger is structured such that JKSC shares will be issued directly to existing VLS shareholders, creating a mirror shareholding and giving investors direct exposure to the high-growth commerce education platform.

- Based on FY26 estimates, JKSC is projected to generate:

- ₹344 Cr revenue
- ₹136 Cr EBITDA
- ₹2,716 Cr EV, with ₹243/share valuation (vs VLS market price of ₹225 on 25 July 2025).

- This move allows independent valuation for JKSC and positions it for a premium EV/EBITDA multiple (20x) compared to consolidated VLS.

5. Retention of Synergies with Veranda (Non-Commerce)

- While structurally separate, cross-entity collaboration will continue where relevant–e.g., shared campuses, staff housing, digital assets, and backend tech infrastructure.
- Leverage complementary geographies and course offerings for cross-selling and cost rationalisation.
- Transfer of assets, employees, and investments will be structured through commercial agreements or lease arrangements, ensuring business continuity.

Key Pillars of Veranda 2.0:

1. Vertical Focus:
   - Post-demerger, Veranda will focus entirely on high-potential verticals: Government Test Prep, K12 Academics, and Vocational/Skilling.
   - This realignment brings executional sharpness and allows for customized go-to-market plans in each segment.

2. Capital Efficiency:
   - Following a ₹357 Cr QIP in June 2025, Veranda retired a large portion of its high-interest debt, reducing Net Debt/EBITDA below 1.6x.
   - Focused reinvestment in technology and expansion through organic means is a core Veranda 2.0 objective.

3. Operational Integration:
   - Merging of Veranda XL Learning, unifying Tapasya and Logic, has allowed for smoother backend operations and unified academic teams.
   - Common technology platforms are being used across brands, reducing redundancy and enabling consistent learner experience.

4. Margin Expansion:
   - Through shared resources, streamlined teams, and improved CAC efficiencies, Veranda targets a 27–30% EBITDA margin by FY27.

5. Tech-Driven Pedagogy:
   - Emphasis on hybrid models (offline + online + BB Virtual) for maximum accessibility and engagement.
   - Investment in AI-driven adaptive learning modules is underway to personalize student journeys.

6. Leadership Alignment:
   - Incentive structures now link leadership bonuses to ROCE, cash flow metrics, and student NPS, ensuring value-aligned execution.

Outcome:

Veranda 2.0 is not just a restructuring—it is the strategic foundation upon which scalable, sustainable, and profitable growth will be delivered over the next 3–5 years. Management targets JKSC to become "the largest player," an "Allen and Akash combined" in the financial services space over the next four to five years, with "no competition anywhere close," profitable, debt-free, and with significant Pan-India presence.

Group Structure Simplification & Capital Strategy

1. Group Structure Simplification

The restructuring plan marks a strategic transition from a complex, acquisition-led structure (Veranda 1.0) to an integrated, capital-efficient platform (Veranda 2.0). The key simplification actions underway include:

a. Merger of Veranda XL Learning Solutions Pvt Ltd (VXLS) into VLS

- VXLS, a 100% subsidiary of VLS, is being merged into the parent to eliminate layering and reduce administrative redundancy.
- This streamlines operations, consolidates resources under one roof, and improves visibility into financials and governance.

b. Demerger of Commerce Test Prep (JKSC) from VLS

- VLS is demerging its highest-margin vertical—Commerce Test Prep—into a new entity: JK Shah Commerce Education Ltd. (JKSC).
- All relevant properties, IP, employees, and subsidiaries (e.g., BB Virtual, Tapasya, Navkar) will transfer to JKSC.
- Post-demerger:
  - VLS will retain K–12 academic, government test prep, and vocational skilling verticals.
  - JKSC will be entirely owned by VLS shareholders directly, ensuring value continuity and clear ownership.

c. Resulting Structure – Simplified & Focused

This structure simplifies vertical ownership, enhances strategic focus and aligns business lines with investor interests.

Entity	Focus Area	Ownership
VLS (Post-Demerger)	Academic, Govt Test Prep, Vocational	Public shareholders
JKSC (New Co)	Commerce Test Prep	Public shareholders (mirror of VLS)

2. Capital Strategy: Transitioning to Veranda 2.0

The company is evolving from an M&A-heavy growth model to a **disciplined, capital-efficient operating model,** emphasizing debt reduction, organic growth, and shareholder returns.

a. Use of QIP Proceeds to Deleverage the Balance Sheet

- In FY25, VLS raised ₹357 Cr via QIP.
- ~87% (₹310 Cr) was utilized to repay debt, reducing net debt from ₹400 Cr to ₹80 Cr, significantly improving leverage ratios and interest coverage.

b. Post-Demerger Capital Allocation Strategy

- JKSC to begin as a debt-free platform, fully reinvesting operational cash flows into expansion (e.g., international certifications, new campuses, digital platforms).
- Non-commerce debt to remain at ₹125 Cr (external) + ₹70 Cr (promoter), with refinancing and internal accrual repayment plans.
- VLS (non-Commerce) will run a capital-light model, focused on scalable hybrid K–12 schools, digital government test prep, and modular skilling programs.

c. Fundraising Flexibility & Investor Alignment

- Each entity post-restructure will have **tailored fundraising strategies:**

  JKSC: Attracts domain-focused investors (e.g., education-focused PE, global EdTech funds).
  VLS: Focused on debt-lite expansion of K–12 and vocational offerings with social/impact funding potential.

- Both entities gain improved access to capital markets, greater transparency, and distinct valuation profiles.

Business Verticals post Demerger

Following the strategic demerger of Veranda Learning Solutions' Commerce Test Prep segment into a separate entity—JK Shah Commerce Education Limited (JKSC)—the company now operates through two independently focused business structures. The post-demerger architecture of Veranda Learning unveils two distinct yet synergistic education ecosystems, each optimized for specialized growth, operational efficiency, and shareholder value creation.

1. Veranda Learning (Residual Entity Post Demerger)

Veranda Learning will continue to operate across three high-potential verticals, each with distinct business models, market dynamics, and growth trajectories:

a. Government Test Preparation

- **Focus:** Civil Services, SSC, Banking, State PSC, and other competitive exams.
- **Footprint:** Strong presence in South India via Veranda RACE and Talent Academy.
- **Growth Strategy:**
  - Strengthening regional outreach in Karnataka, Kerala, and Tamil Nadu.
  - New initiatives like the Race Mobile App and enhanced hybrid classroom models.
  - Expanding through franchise-led and asset-light formats.

b. K-12 Academic Schooling

- **Focus:** CBSE and Cambridge curriculum schools.
- **Infrastructure:** Includes five CBSE and two Cambridge international schools; expanding into managed school models.
- **Growth Levers:**
  - ~25% CAGR growth projected FY24–FY26.
  - Integration of technology-enabled pedagogy and curriculum innovation.

c. Vocational Skilling & Higher Education

- **Focus:** Skill development programs in BFSI, IT, digital, and management.
- **Global Expansion:** Partnered with Illinois Tech, Pearson, and Cambridge for international courses.
- **Highlights:**
  - Flexible online and hybrid delivery.
  - Emphasis on higher-margin postgraduate programs (MBA, MSc, DBA, AI).
  - Pipeline of globally recognized certification courses.

Exhibit 5: Business Verticals and Brand Portfolios

K - 12	Post Schooling Education	Professional development
BRANDS: Veranda K-12	BRANDS: Veranda RACE, TALENT ACADEMY, Veranda IAS, Phire	BRANDS: Veranda higherEd, SIX PHRASE Skilling Personalized, edureka!
Academic	**Government Test Prep**	**Vocational**
Catering K-12: Veranda's K-12 segment, includes **five CBSE** and **two international Cambridge schools.** We've since expanded into an asset-light managed school model. This vertical is growing at **25% CAGR** (FY 24 to FY 26)	**Specialized coaching** for various competitive & civil services exams **(PSC, SSC, RRB, TNPSC, KPSC, Banking).** The vertical is growing at **29% CAGR** (FY 22 to FY 26)	**Skill Training & Internships,** Upskilling Courses, Recruitment Training in the **BFSI sector.** Focusing more on degree programs and higher ticket size certification courses in and outside India. The vertical is growing at **20% CAGR** (FY 22 to FY 26)

Source: Company, Smart Sync Services

2. JK Shah Commerce Education Limited (JKSC – Demerged Entity)

The demerged entity, JKSC, will become a pure-play, commerce-focused education powerhouse, encompassing India's most respected brands in CA, CS, CMA, ACCA, and B.Com coaching. Acquisitions like BB Virtuals and Navkar Institute will fuel expansion in both online and offline markets in North India. The vertical is growing at 26% CAGR (FY 22 to FY 26).

a. Structure and Brands Under JKSC:

- J.K. Shah Classes – Flagship brand with 42+ years in CA/CS coaching.
- BB Virtuals – Online-first platform for CA, CMA, CS, and global certifications like US CPA.
- Navkar Digital Institute – Gujarat-based leader in commerce coaching.
- Logic School of Management – Kerala's top institute with focus on CMA USA, ACCA.
- Tapasya Institutions – 17+ campuses; integrated junior colleges with 17,000+ students.

b. Delivery Model:

- Fully integrated hybrid model: Physical centers (105+ across 43 cities) + robust online (BB Virtual).
- All courses offered in Hindi-English and English-only tracks.
- Regional language integration planned for +1/+2 programs.

c. Strategic Focus Areas:

- **Curriculum Expansion:** Replicating full Mumbai JKSC curriculum across all locations.
- **Pan-India Footprint:** Deepening in South and West; expansion into North (Delhi, Rajasthan, UP, MP).
- **Global Certifications:** US CPA, CMA, ACCA, CFA–targeting international aspirants.
- **Digital Scale-Up:** BB Virtual to offer all physical courses in online format for pan-India reach.

Exhibit 6: Strategic Commerce Brands Powering the Veranda 2.0 Growth Engine

J.K. SHAH CLASSES	BB VIRTUALS Student's Portal	TAPASYA COLLEGE OF COMMERCE & MANAGEMENT	NAVKAR INSTITUTE	LOGIC SHAPING EXPERTS
○ Commerce Competitive exam coaching. ○ Rankers Factory for CA and other professional courses. ○ 214+ CA rankers since 2016.	○ India's leading Online Commerce Competitive exam coaching. ○ Rankers Factory for CA and other professional courses. ○ 40 ranks in All India Top 50 for CA final exams	○ Management Services to colleges. ○ 17 intermediate pre university colleges & ~17000 students ○ Network of 17+ campuses with 25 more campuses in the pipeline	○ Commerce Competitive exam coaching. ○ Leading Presence in Gujarat	○ Commerce Competitive exam coaching in Kerala ○ Platinum Partner member with CMA USA

Source: Company, Smart Sync Services

3. Strategic Rationale for Separation

- **Sharpened Focus:** Each vertical now pursues tailored growth strategies aligned with its unique industry dynamics.
- **Capital Efficiency:** JKSC operates debt-free, enabling better cash flow deployment and fundraising capability.
- **Unlocking Value:** Independent listings for each business provide investors with clear exposure to specialized education domains.
- **Scalability:** Veranda's residual verticals and JKSC both pursue asset-light, hybrid delivery models suited for rapid national expansion.

This demerger signifies Veranda's transition from a multi-brand aggregator to a **strategically de-layered, value-focused education conglomerate,** optimized to scale efficiently across both regulated (K-12, Govt Test Prep) and semi-regulated (Commerce Professional Courses) segments.

Exhibit 7: Strategic Growth Initiatives and Future Milestones Across Key Business Verticals

Academic

- Veranda K-12 is expanding student intake at its Chennai, Bengaluru, Trichy and Coimbatore campuses to meet growing demand.
- The move reinforces the institution's commitment to accessible, high-quality education.
- This expansion allows more students to benefit from our holistic learning approach.

Commerce Test Prep (To demerge & List Separately)

- Expanding into global certifications like CMA US, ACCA, CIMA UK, and CPA US to tap rising demand for international finance careers.
- Scaling CS, CMA (India), and Junior PU coaching to serve a broader base of aspiring professionals.
- Strengthening regional presence beyond Maharashtra into Gujarat, Delhi, and Rajasthan to drive centre-level growth.
- Flagship offline courses now available online, widening access to high-quality commerce coaching across India.

Government Test Prep

- **Regional Expansion:** Strengthened presence in Karnataka and Kerala with new centers and campus outreach.
- **TNPSC Trigger:** TNPSC notification (Apr'25) expected to drive surge in enrolments across Tamilnadu.
- **Content Upgrade:** Enhanced classroom content in Kerala aligned with latest exam patterns.
- **Digital Push:** Launched Race Mobile App with expert content, mock tests & performance tracking.
- Strong Positioning: Among top Govt. exam prep brands in South India, poised for next growth wave.

Vocational

- **Next-Gen Programs:** Focus on future-ready postgraduate courses like DBA, MBA, MSc & AI.
- **Global Reach:** Expanding across Indian and international markets with industry relevant offerings.
- **Hybrid Delivery:** Flexible online & hybrid formats tailored for working professionals and graduates.
- **Career Upskilling:** Targeting high-growth sectors with programs designed for career acceleration.

Source: Company, Smart Sync Services

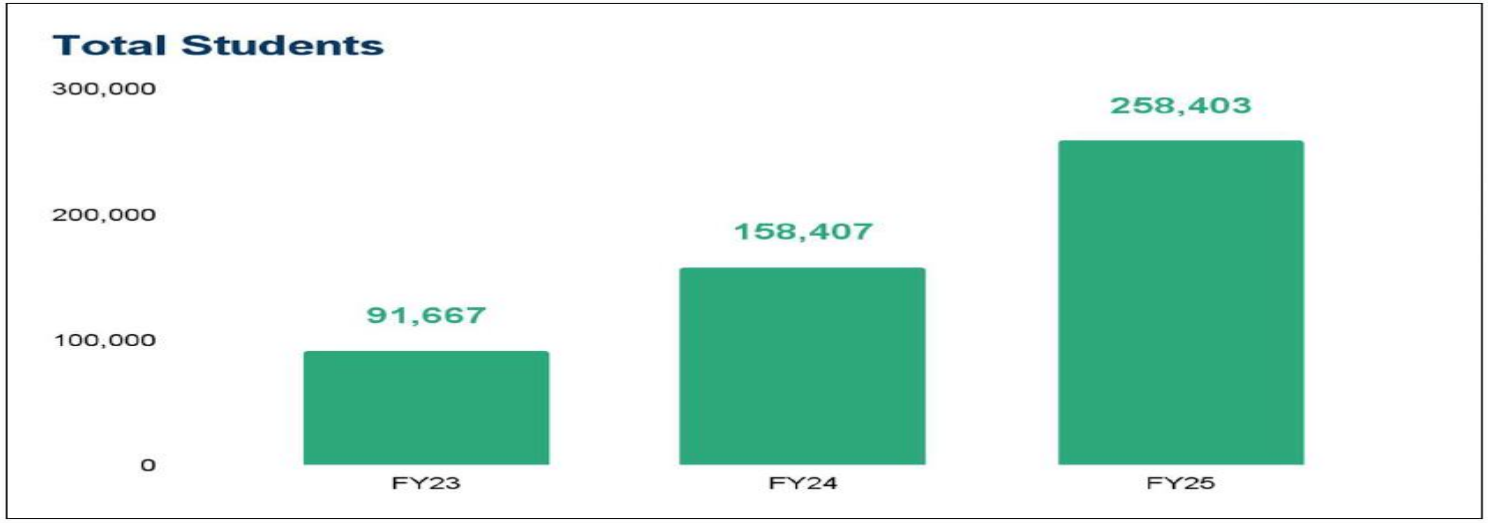
Financial Overview and Growth Forecasts

Consolidated Financial Performance

Scale and Reach (FY24-FY25):

Revenue: VLS achieved INR 518 crore turnover in FY25, up from INR 460 crore in FY24 and INR 306 crore in FY23, signifying robust topline growth.

Operational Highlights: Over 2.5 lakh students trained annually across 200+ offline centers in India, supported by a workforce of 2,000+.



Source: Company, Smart Sync Services

• The student base nearly tripled in two years, evidencing effective expansion strategies and demand across verticals, particularly in hybrid and outcome-driven learning models.

Exhibit 8: Quarterly Income Statement

Particulars (cr. ₹)	Q1FY26	Q4FY25	QoQ	Q1FY25	YoY
Sales	**139**	**114**	**21.9%**	**119**	**16.8%**
COGS	3	4	-49.1%	2	39.0%
COGS % of Sales	1.9%	3.5%		1.4%	
Gross Profit	**136**	**110**	**23.9%**	**117**	**16.2%**
Gross Profit Margin	98.1%	96.5%		98.6%	
Employee Cost	26	27	-4.2%	27	-4.2%
Employee Cost % of sales	18.6%	23.7%		22.7%	
Other Expense	74	63	14.0%	70	4.9%
Other Expense % of sales	52.9%	55.5%		58.7%	
EBITDA	**37**	**20**	**86.7%**	**20**	**80.3%**
EBITDA % of Sales	26.5%	17.3%		17.2%	
Depreciation & Amortization	16	18	-12.5%	24	-48.8%
Depreciation & Amortization % of Sales	11.5%	15.8%		20.0%	
Other Income	17	39	-124.7%	7	57.1%
Other Income % of Sales	12.5%	34.1%		6.2%	
Interest	31	36	-16.9%	30	2.0%
Interest % of Sales	22.0%	31.3%		25.1%	
Profit Before Tax	**8**	**5**	**54.8%**	**(26)**	**-129.7%**
PBT % of sales	5.5%	4.4%		-21.7%	
Income Tax	2	(3)	266.5%	0	92.3%
Effective tax rate	23.7%	21.2%		24.4%	
Profit After Tax	**6**	**8**	**-26.7%**	**(26)**	**122.6%**
Extra Items	0	0	NA	0	NA
Net Profit	**6**	**8**	**-26.7%**	**(26)**	**122.6%**
Net Profit Margin	4.2%	7.0%		-21.8%	
EPS	**(0)**	**1**	**-113.2%**	**(4)**	**97.7%**

Source: Company, Smart Sync Services

Exhibit 9: Annual Balance Sheet Overview

Particulars (cr. ₹)	Mar '24	Mar '25	Mar '26E	Mar '27E	Mar'28E
Cash and Short Term Investments	29	76	4	82	118
Total Receivables	48	46	32	46	64
Inventory	2	3	5	5	4
Other Current Assets	82	122	197	256	274
Total Current Assets	**161**	**247**	**238**	**390**	**460**
Net Property Plant And Equipment	147	199	35	70	107
Long-term Investments	5	4	0	0	0
Goodwill	833	1175	1183	1183	1183
Other Intangible Assets	402	237	209	194	180
Other Assets	85	17	167	128	138
Total Assets	**1,633**	**1879**	**1832**	**1965**	**2068**
Accounts Payable	51	60	68	96	128
Accrued Expenses	1	0	0	0	0
Short-term Borrowings	0	82	27	27	27
Current Portion of Long-Term Debt / Leases	324	0	52	31	55
Other Current Liabilities	187	414	131	130	134
Total Current Liabilities	**564**	**556**	**278**	**284**	**344**
Long-Term Debt	146	431	154	123	88
Long-Term Leases	112	146	99	87	79
Other Non Current Liabilities	434	489	513	607	530
Total Liabilities	**1,256**	**1066**	**766**	**817**	**697**
Common Stock & APIC	69	74	96	96	96
Retained Earnings	0				
Treasury Stock and Other	308	183	691	768	930
Common Equity	**377**	**257**	**787**	**864**	**1026**
Minority Interest	0	0	0	0	0
Total Equity	**377**	**257**	**787**	**864**	**1026**
Total Liabilities And Equity	**1,633**	**1879**	**1832**	**1965**	**2068**

Source: Company, Smart Sync Services

Exhibit 10: Annual Income Statement

Particulars (cr. ₹)	Mar '24	Mar '25	Mar '26E	Mar '27E	Mar'28E
Sales	**460**	**526**	**672**	**886**	**1157**
sales growth			*20%*	*32%*	*31%*
S&G Expenses					
S&G Expenses % of sales					
Other Expense					
Other Expense % of sales					
EBITDA	**112**	**113**	**180**	**274**	**402**
EBITDA Margin			*27%*	*31%*	*35%*
Depreciation & Amortization		212	62	67	76
Depreciation & Amortization % of Sales					
Other Income		5	4	5	5
Other Income % of Sales					
Interest		129	42	36	32
Interest % of Sales					
Earnings Before Taxes			**117**	**214**	**338**
EBT % of Sales			*17.41%*	*24.15%*	*29.21%*
Income Tax Expense			37	52	94
Earnings from Continuing Operations			**80**	**162**	**244**
Earning from Discontinuing Ops & Extra Items			-	-	-
Net Profit			**80**	**162**	**244**
Net Profit Margin			*12%*	*18%*	*21%*
EPS					

Source: Company, Smart Sync Services

Exhibit 11: Annual Cash Flow Overview

Particulars (cr. ₹)	Mar '24	Mar '25	Mar '26E	Mar '27E	Mar'28E
Cash from Operating Activity	**27**	**32**	**(74)**	**217**	**188**
Profit Before Tax	(77)	(252)	117	214	338
Adjustments	138	327	99	98	103
OCF Before Working Capital	**61**	**75**	**216**	**312**	**441**
Working Capital Changes	(34)	(34)	(253)	(43)	(159)
Taxes Paid	(0)	(9)	(37)	(52)	(94)
Cash from Investing Activity	**(232)**	**(66)**	**(15)**	**(52)**	**(62)**
Net Fixed Assets Purchased	**(13)**	**(12)**	**(20)**	**(57)**	**(67)**
Fixed Assets Purchased	(13)	(15)	(20)	(57)	(67)
Fixed Assets Sold	0	3	-	-	-
Investment Purchased	(5)	-	-	-	-
Investment Sold	-	12	3	3	3
Interest Recieved	3	2	2	2	2
Subsidiary Investments	(217)	(68)	-	-	-
Cash from Financing Activity	**139**	**51**	**(21)**	**(88)**	**(95)**
Proceeds From Shares	0	88	366	-	-
Net Long Term Borrowings	71	352	(277)	(31)	(35)
Net Short Term Borrowings	136	(285)	(56)	-	-
Repayment of Lease liability	(28)	(39)	(40)	(42)	(44)
Interest Paid	(40)	(65)	(14)	(15)	(16)
Net Cash Flow	**(66)**	**17**	**(110)**	**77**	**31**
Opening Cash & Cash Equivalents	85	20	54	(56)	20
Cash Inflow on account of acquisitior	1	17	-	-	-
Closing Cash & Cash Equivalents	**20**	**54**	**(56)**	**21**	**51**

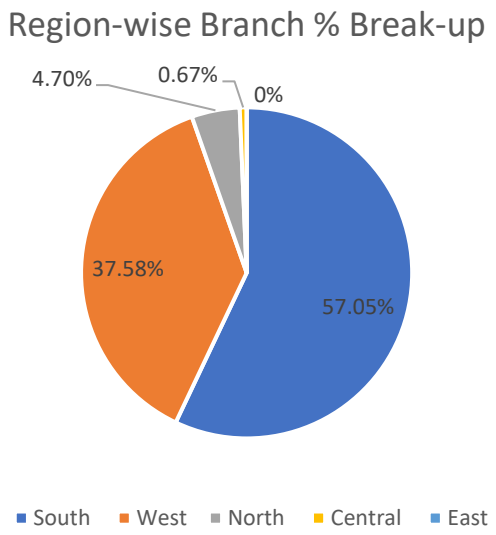
Source: Company, Smart Sync Services

Exhibit 12: Ratio Analysis

Metrics	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	NA	NA	27	13	9
EV / EBITDA (x)	27	27	16	11	7
EV / sales (x)	6	6	4	3	2
P/B (x)	5	7	3	3	2
RoE (%)	NA	NA	9.0%	16.0%	19.0%
RoCE (%)	0.0%	1.0%	10.0%	15.0%	22.0%
Net debt / equity (x)	0.61	1.95	0.23	0.17	0.11
CFO: PAT (%)	NA	NA	NA	134.0%	77.0%

Source: Company, Smart Sync Services

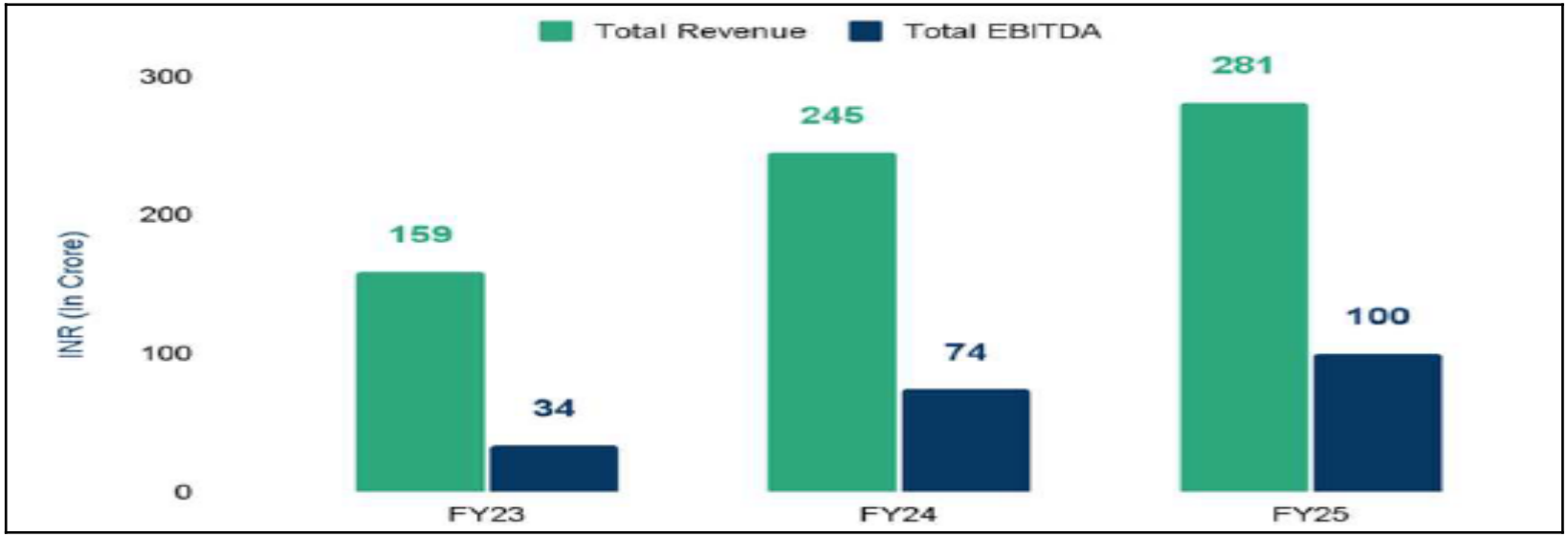
Exhibit 13: Region Wise Branch % Break-up



Source: Company, Smart Sync Services

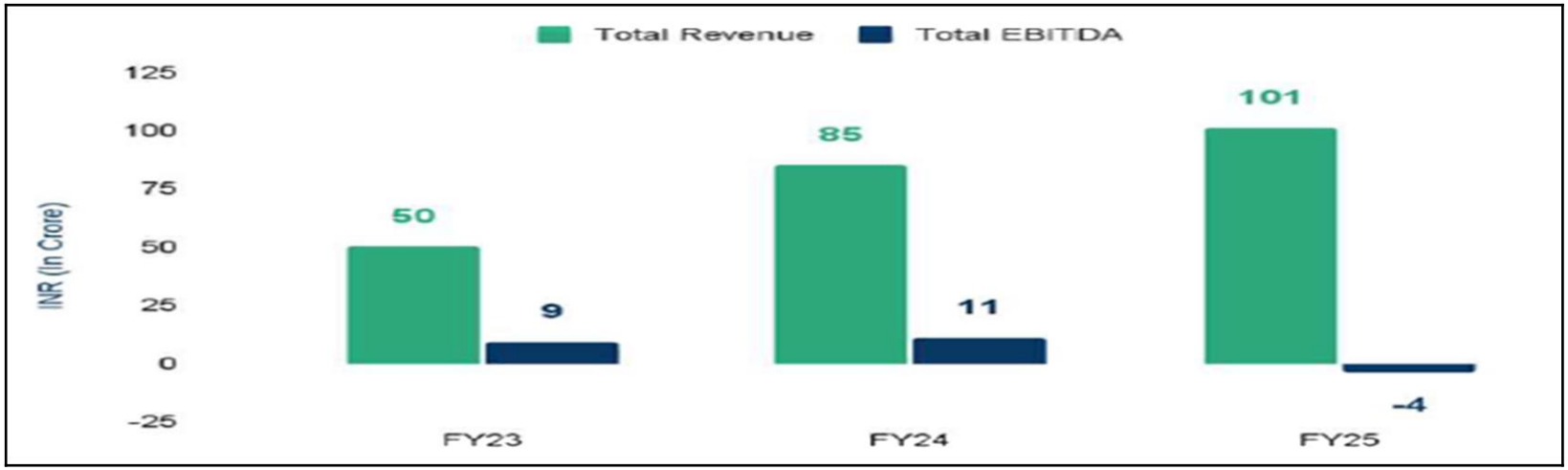
Segment Wise Overview:

1) Commerce Test Preparation:(To demerge and list separately)



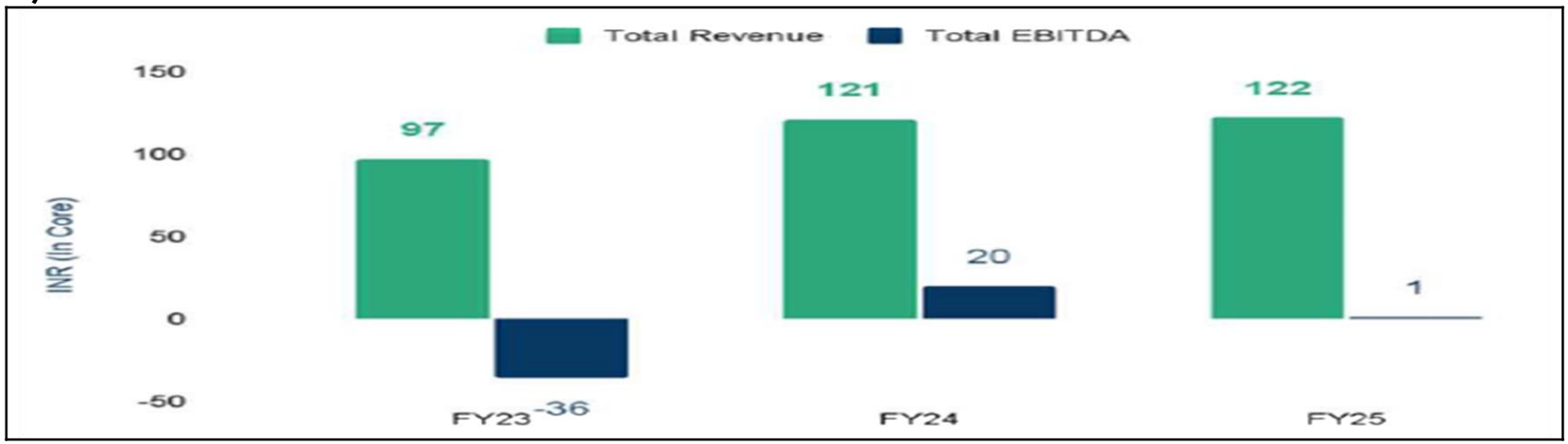
Source: Company, Smart Sync Services

2) Government Test Prep



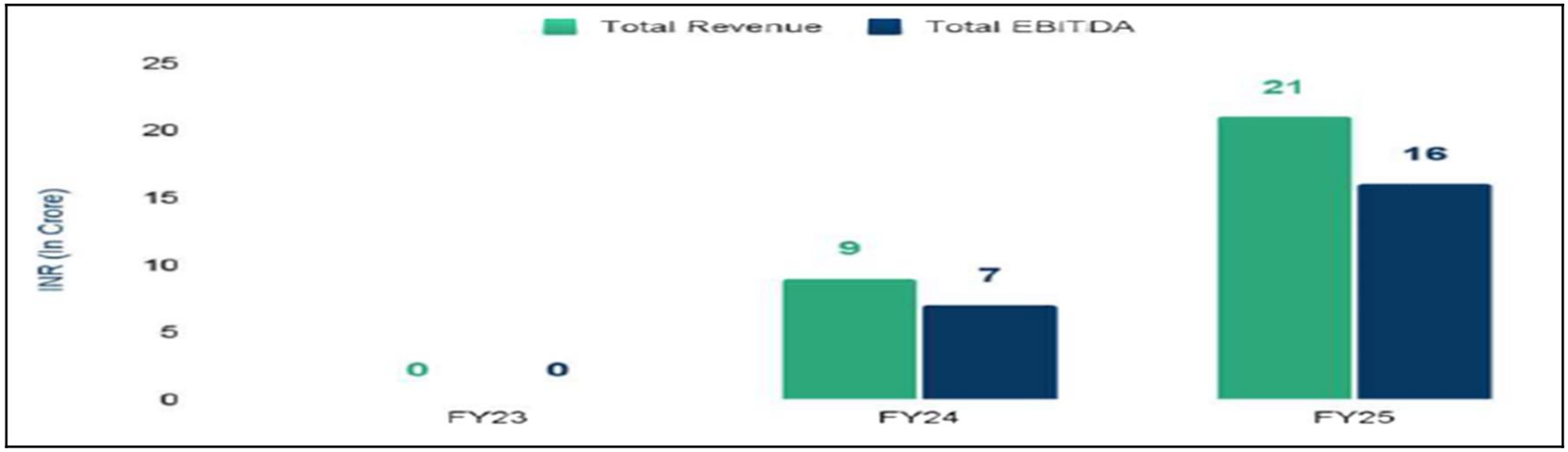
Source: Company, Smart Sync Services

3) Vocational



Source: Company, Smart Sync Services

4) Academic



Source: Company, Smart Sync Services

Financial Performance – Segment-wise

	FY23	FY24	FY25
Total Students (Nos)	**91,667**	**1,58,407**	**2,58,403**

Total Revenue (INR Crore)	FY23	FY24	FY25
Commerce Test Prep	159	245	281
Government Test Prep	50	85	101
Vocational	97	121	122
Academic	0	9	21
Total	**306**	**460**	**526**

Total EBITDA (INR Crore)	FY23	FY24	FY25
Commerce Test Prep	34	74	100
Government Test Prep	9	11	-4
Vocational	-36	20	1
Academic	0	7	16
Total	**7**	**112**	**113**

Source: Company, Smart Sync Services

Exhibit 14: FY26E Growth & Profitability Snapshot(Only Commerce Vertical)

Metric	FY25	FY26E	YoY Growth
Total Students Enrolled	1,69,537	2,01,287	+18.7%
Total Revenue(INR Cr)	₹281 Cr	₹344 Cr	+22.4%
Total EBITDA(INR Cr)	₹100 Cr	₹136 Cr	+ 36.0%
EBITDA Margin(%)	35.6%	39.5%	

Source: Company, Smart Sync Services

- Margin expansion is expected from operating leverage, back-end consolidation, and new managed college revenue kicking in with minimal incremental cost.

- Managament guides for FY26 Consolidated revenue of ₹672 Cr and EBITDA of ₹180 Cr.

4. Segment-Wise Revenue Highlights (FY25 to FY26E)

- **JK Shah** remains the flagship with revenue expected to rise from ₹123 Cr to ₹139 Cr, riding on hybrid format expansion and brand dominance in the CA coaching space.
- **BB Virtual** is forecasted to grow 23% YoY, scaling from ₹69 Cr to ₹85 Cr, driven by digital content and wider CA final coverage.
- **Tapasya** and **Navkar** are expected to show steady single-digit growth (~18%), with Tapasya also supporting the managed college vertical.
- **Managed College** model contributes a new ₹15 Cr in FY26E, validating the asset-light, ROCE-accretive strategy.

Key EBITDA Contributors FY26E:

- BB Virtual (₹47 Cr in FY26E): High-margin digital model scaling profitably.
- Tapasya (₹36 Cr) : Significant improvement due to better monetization and network optimization.
- JK Shah (₹30 Cr): Continued stability and scale efficiency.

Exhibit 15: Peer Comparison

Company	Approx. Market Cap (in Cr. ₹)	Revenue (FY24) (in Cr. ₹)	EBITDA (FY24) (in Cr. ₹)	Market Cap/Revenue	Market Cap/EBITDA
Veranda Learning Solutions*	2,200	471	113	4.67	19.47
Unacademy	6,778	988	(489)	6.86	-13.86
PhysicsWallah	23,725	1,940	67	12.23	354.10
UpGrad	19,065	1715	-	11.12	-

Source: Media articles, Veranda Investor Presentation, Smart Sync Services

Note: All the peers are unlisted, so the market cap is determined as per the latest funding rounds.

**For Veranda Learning Solutions, FY25 data is taken from Investor Presentation.*

Valuation & Value Creation

Sum-of-Parts (SOTP) Valuation Approach

VLS management illustrates a sum-of-parts valuation to quantify shareholder value post-restructuring, highlighting the distinct profiles and market potential of the Commerce versus Non-Commerce segments.

Commerce & Non-Commerce Segments FY26 Projections

Commerce Segment	
Particulars (Cr)	**FY26**
Revenue	344
EBITDA	136
EV EBITDA Multiple	20
Enterprise Value	**2,716**
Less: Debt	-
Less: Deferred	408
Add: Closing cash#	(34)
Equity Value	**2,274**
No of shares*	9.36
Per share (Rs)	**243**

*Shareholding as on 28th Jul 2025

Non Commerce Segment	
Particulars (Cr)	**FY26**
Revenue	328
EBITDA	44
EV EBITDA Multiple	15
Enterprise Value	**666**
Less: Debt	181
Less: Deferred	41
Add: Closing cash	33
Equity Value	**476**
No of shares	9.36
Per share (Rs)	**51**

Consolidated (Pre-Demerger) Sum:

- Composite Equity Value (FY26E): INR 2,750 crore
- Composite Share Price (SOTP, FY26E): INR 294
- Latest Actual Market Price (August 01, 2025): INR 232

Value Creation Levers

- Independent Market Valuation:

The demerger facilitates transparent, market-driven valuation for both Commerce and Non-Commerce verticals. The standalone public listing of JKSC provides direct trading and benchmarking opportunity, potentially narrowing any "conglomerate discount" that previously applied.

- Capital Allocation Efficiency:

With separate entities, capital can be optimally deployed for organic/strategic growth in each core segment, with clearer cost of capital and funding access.

- Growth-Driven Multiples:

Robust anticipated EBITDA growth (22% YoY in Commerce for FY26E), premium margins, and market leadership underpin the high multiple (20x EV/EBITDA) justified for JKSC, compared to 15x for Non-Commerce, reflecting lower risk and higher growth potential.

- Enhanced Investor Appeal:

Shareholders gain pure-play exposure to high-growth verticals, improving attractiveness for institutional and strategic investors.

- Synergies & Collaboration:

While the entities become operationally autonomous, cross-entity synergies in curriculum, technology, and branding will continue, further boosting value.

Valuation Upside:

- The SOTP-derived FY26E composite share price (INR 294) implies material upside versus the market price as of July 2025 (INR 225), reflecting both revenue/EBITDA growth and value unlocking from the demerger.

Risk Mitigation:

- The demerger structure preserves shareholder continuity, employees' interests, and operational synergies, while segregating debt/capital as per business segment needs.

Execution is Key:

- Timely regulatory approvals, smooth asset transfer, and sustaining growth momentum in both Commerce and Non-Commerce businesses will be crucial for full value realization.

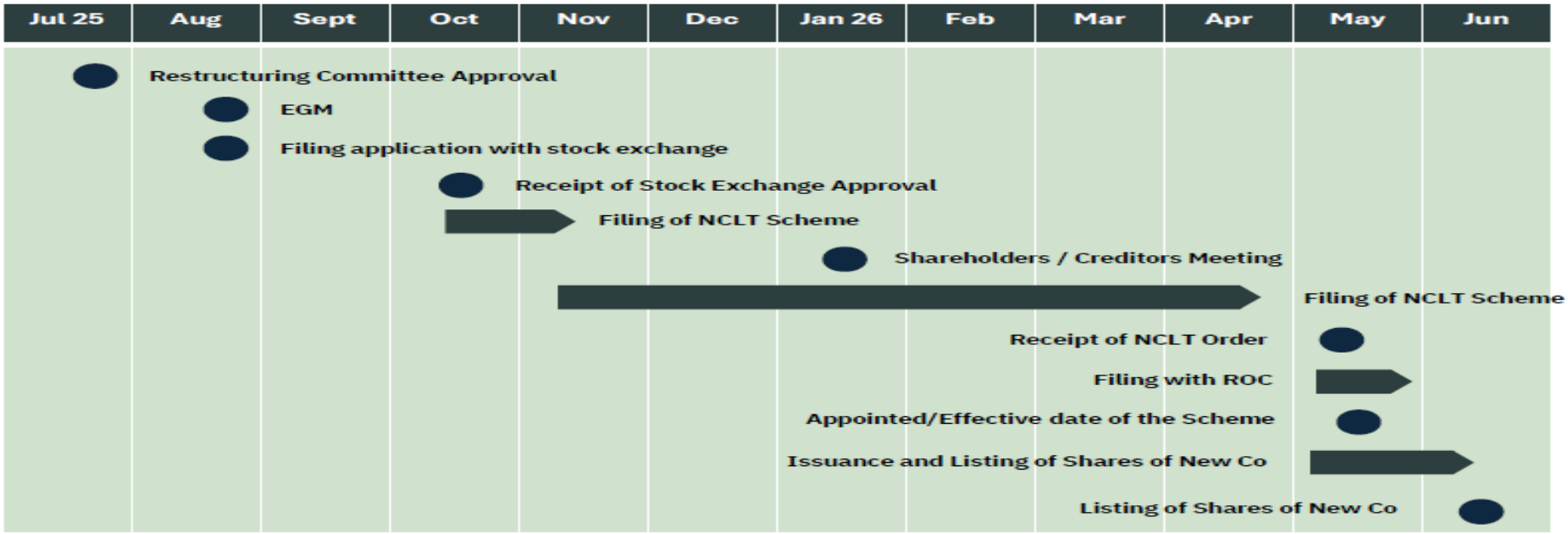
Conclusion :

Veranda's restructuring marks a pivotal step towards maximizing shareholder value through transparent segmental valuation, focused capital allocation, and unlocking latent potential in both core growth engines. The SOTP framework indicates significant upside potential as the businesses mature in their independent avatars and the market recognizes their differentiated growth trajectories.

Listing Timeline & Market Visibility:

Based on the demerger process timeline, the indicative schedule for the listing of JKSC spans approximately 12 months, beginning from late July of the previous year through the following June.

Exhibit 16: Demerger Process Timeline



Source: Company, Smart Sync Services

This structured process involves several critical milestones, each contributing to stakeholder transparency and regulatory compliance:

Initial Approvals (Jul–Sept)

- Restructuring Committee Approval, EGM, and Stock Exchange Filing occur swiftly between late July and September, signifying prompt internal decision-making and an immediate signal to the market that the demerger process is officially underway.

Regulatory Scrutiny (Oct–Dec)

- Stock Exchange Approval and the filing of the NCLT Scheme are targeted for October and November.
- This is a period of enhanced regulatory oversight with public disclosures, which increases market awareness and signals tangible progress.

Scheme Consideration and Stakeholder Communication (Jan–May)

- The shareholders/creditors meeting scheduled for January fosters market engagement and facilitates dialogue with key stakeholders.

- Filing and review of the NCLT Scheme carry on extensively until May, highlighting a long window where public and market participants remain vigilant for updates.

Market Debut and Visibility

- Listing of New Co shares on the exchange is the final step in June, which will be the critical event for market participants, unlocking actual trading and price discovery.

Market Visibility Implications

Transparent and Predictable Process:

- The well-articulated stepwise timeline fosters confidence among investors and analysts. By mapping out each event, the company ensures ongoing market visibility as each milestone is achieved.

Extended Engagement Window:

- With the process stretching over 12 months and punctuated by disclosures and approvals, the company remains frequently in the market spotlight, maximizing investor awareness and allowing ample preparation for the new listing event.

Event-Driven Price Discovery:

- As each regulatory and corporate milestone is achieved, the market will likely react, creating multiple inflection points for trading and sentiment–culminating in the new company's listing, which is expected to attract heightened attention and valuation scrutiny.

The timeline represents best practice in corporate restructuring communications–balancing regulatory rigor with proactive market visibility. Investors and analysts can track progress at each stage, and the explicit labeling of each month-long process (especially around NCLT and ROC filings) underpins a transparent and investable demerger event.

Conclusion:

The company's 12-month roadmap for listing JKSC maximizes market visibility, ensures regulatory predictability, and maintains investor engagement across critical junctures–providing an exemplary model for timing and communication during a demerger and new listing process.

Industry Overview:

The global edtech and smart classroom market size was valued at USD 115.80 billion in 2022 and is projected to grow from USD 133.55 billion in 2023 to USD 433.17 billion by 2030, exhibiting a CAGR of 18.3% during the forecast period. This growth is not limited to institutions alone; it is equally driven by individual learners, working professionals seeking upskilling opportunities, and governments making strategic investments in digital-first education. The pandemic acted as a catalyst, forcing the sector to leapfrog its adoption cycle, and the current phase is characterized by hybrid learning models, consolidation, and the deeper integration of AI-driven personalization into learning systems.

The education sector has immense opportunities for growth today. It is a fast-evolving industry as institutes and learners have realized the value of a holistic learning environment and are continuously investing in it. According to the education intelligence provider HolonIQ, around 3% of global education expenditure is allocated to digital infrastructure. It also states that digital transformation's significant potential is expected to reach USD 10 trillion by 2030, up from USD 6 trillion in 2018. This is likely to support the adoption of edtech and smart classroom solutions in the coming years.

Regional dynamics also paint a diverse picture. North America and Europe represent mature markets where the focus is shifting toward advanced analytics, AI tutoring, and immersive classrooms, while Asia-Pacific is emerging as the fastest-growing region, led by India, China, and Southeast Asia. These countries benefit from favorable demographics, a young and expanding middle class, and government-backed initiatives that encourage digital adoption. In contrast, emerging regions such as Africa and Latin America present significant untapped opportunities, where mobile-first platforms and low-cost solutions dominate due to infrastructural and affordability constraints.

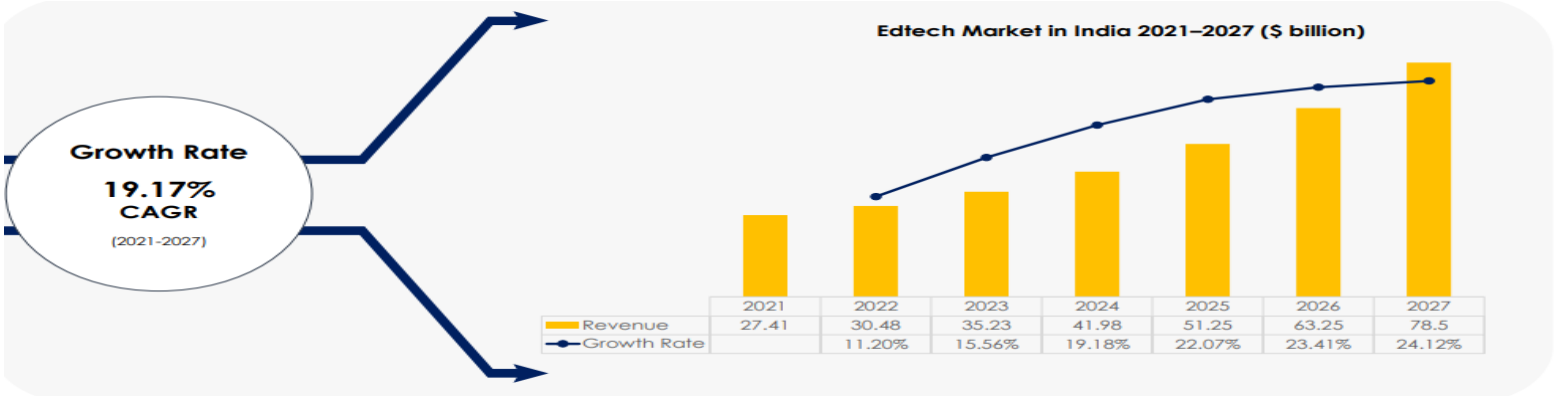
APAC expected to grow fastest in EdTech market globally

Exhibit 17: Geographic Segmentation (Global)

Region	Market Size (2021)	Market Size (2027)	Growth Rate CAGR (2021-27)
Asia Pacific Countries (APAC)	$107.63 BN	$277.39 BN	17.09%
North America	$52.62 BN	$109.27 BN	12.95%
Europe	$39.62 BN	$92.26 BN	15.13%
Latin America	$29.68 BN	$72.95 BN	16.17%
Middle East & Africa	$25.25 BN	$53.52 BN	13.34%

Source: Company, Arizton Advisory & Intelligence Report, Smart Sync Services

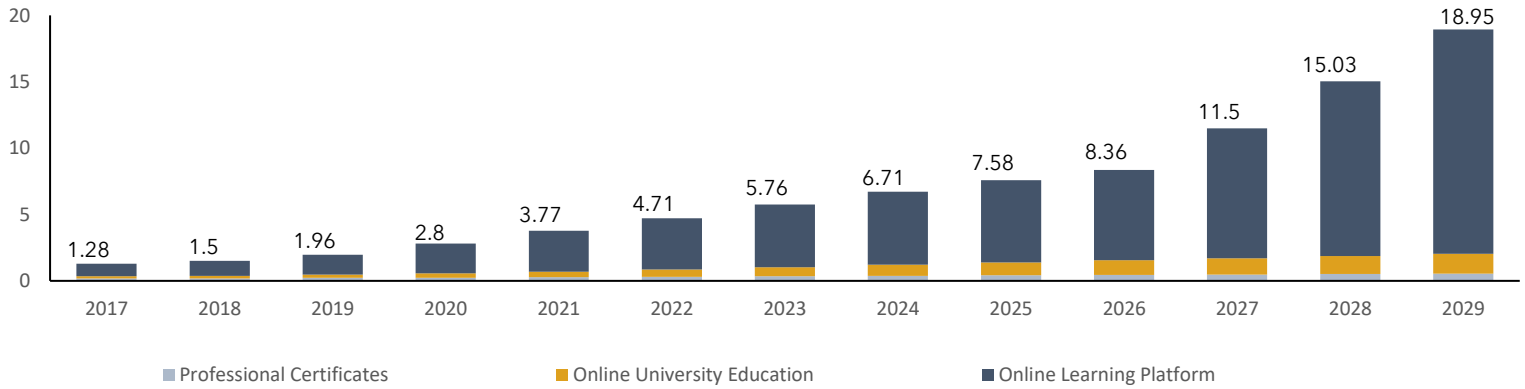
Exhibit 18: Indian Ed-tech Sector – Market Size



Source: Company, Arizton Advisory & Intelligence Report, Smart Sync Services

Online Education Market is projected to grow at 23.06% CAGR (2024-29)

Exhibit 19: Online Education Market (Revenue) – India (in billion US $)



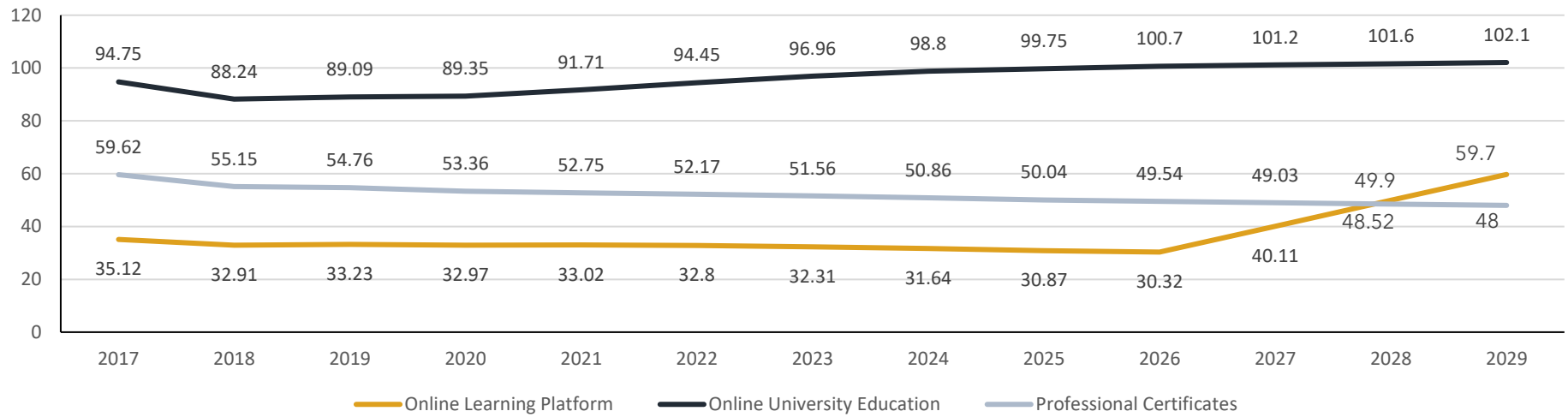
Source: Statista, Smart Sync Services

India has emerged as one of the most dynamic and high-potential markets in the global education technology (EdTech) space. The sector is being reshaped by structural demographic advantages, digital enablement, changing learner preferences, and institutional pivot toward hybrid learning models.

According to Statista, India's online education market is estimated to reach USD 6.71 billion in 2024, and is forecasted to expand to USD 18.95 billion by 2029, implying a 5-year CAGR of 23.06%. This significant growth is expected to be driven by increased digital adoption across formal and non-formal education channels, as well as by growing demand for outcome-oriented and flexible learning pathways.

ARPU generated by Online Learning Platform is expected to grow significantly by 2029

Exhibit 20: Average Revenue Per User (ARPU) – India (in US $)



Source: Statista, Smart Sync Services

Structural Growth Drivers

1. Demographic Tailwinds

India houses one of the youngest populations globally, with nearly 26% of its 1.4+ billion population in the 0–14 age bracket. This provides a large addressable base of learners across K-12, test preparation, vocational, and professional education segments.

2. Digital Infrastructure & Internet Penetration

The penetration of affordable internet and smartphones has enabled tier-II and tier-III cities to access digital education platforms at scale. The post-COVID acceleration in digital content consumption has made hybrid and online learning models mainstream.

3. Institutional Adoption

Higher education institutions and vocational academies are increasingly investing in digital platforms to supplement in-class delivery, expand reach, and improve learning outcomes. Many universities now offer blended degrees, online certifications, and modular skilling programs, aligning with evolving learner needs.

Emerging Sub-Sectors Driving Growth

Online Learning Platforms: These serve as marketplaces or delivery engines for structured curriculum, exam prep, and skill-based content. The segment leads in both user base and revenue generation.

Professional Certificate Programs: Courses like CA, ACCA, CFA, CMA, and other upskilling programs have seen high growth, especially among working professionals and undergraduates seeking job-linked learning.

Online University Education: UGC-approved online degrees and diplomas offered by top universities now allow working learners to pursue formal credentials remotely.
Each of these categories is supported by favorable policy tailwinds, rising disposable income, and acceptance among employers–creating a virtuous loop for both learner engagement and platform profitability.

Conclusion :

•The addressable market is expanding beyond metro cities, creating long-term scalability for hybrid and online-first players.

•The sector offers margin expansion potential due to the asset-light nature of content delivery and scale benefits in content reuse and cloud infrastructure.

•Veranda, with its presence across test prep, higher education, and skilling, is well-positioned to ride the digital wave, especially post its restructuring and demerger-led refocus on segmental strengths.

Exhibit 21: Leadership Team of Veranda Learning Solutions & their Background

Mr. Kalpathi Suresh,

Executive Director & Chairman

More than a decade of experience in the Education industry. Founded SSI in 1991, providing software education and IT training; key milestones include listing on NSE and BSE, formed a JV with NASDAQ, acquired Albion Orion Company LLC and acquired controlling stake in Aptech Limited. Founded AGS Entertainment in 2003, a production house and later ventured into film exhibition via AGS Cinemas. Founded Kalpathi Investments in 2007, a NBFC which invests in various ventures. Awarded the 'Outstanding Entrepreneur of the Year' in 1999 by Ernst & Young, India. Bachelor's degree of Technology in Electrical Engineering, Master's Degree in Electrical Engineering.

Mr. Kalpathi S. Aghoram,

Non-Executive Director cum Vice Chairman

Bachelor's degree in Commerce. A decade of experience in finance, education, IT, entertainment. Previously associated with TNCA and BCCI.

Mr. Kalpathi S. Ganesh,

Non-Executive Director

Bachelor's degree in Applied Sciences, Master 's degree in Software Systems. A decade of experience in finance, education, IT, entertainment .

Kalpathi Aghoram Archana,

Non-Executive Director

Master's degree in Computer Science. Director of AGS Cinemas; Executive producer of AGS Entertainment.

Exhibit 22: Leadership Team of Veranda Learning Solutions & their Background

Prof. Jitendra Kantilal Shah,

Non-Executive Director

Experienced and Pioneer leader in education for over 40 years. JK Shah Classes, led by him, has effectively trained numerous candidates for CA, CS, CMA, and CFA certifications, influencing the careers of thousands of professionals throughout India

Mr. Saurani Pathan Mohasin Khan,

Chief Financial Officer

A qualified Chartered Accountant (CA) and Company Secretary (CS),Mohasin brings a robust financial acumen to the organization. Prior to Veranda, he held key finance roles at Merit Data and Technology and Dr. Agarwal's Eye Hospital.

Aditya Malik

Chief Operating Officer

Aditya Malik is a successful tech-entrepreneur and was the CEO of the higher education business of Veranda Learning Solutions Ltd, one of the leading new-age, technology-driven interactive education companies.

Bharat Seeman,

Ex-founder, Veranda Race

10+ years of experience in business leadership. Master's degree in Technology from Anna University

Santhoshkumar P,

CEO, Veranda Race

7+ years of experience in operations management at Veranda RACE. MBA from Illinois Tech Stuart School of Business and Master's degree from Great Lakes Institute of Management

K. Subramanyam,

CEO, Veranda K-12

15+ years of experience in setting up & managing k-12 school operations. Previously worked with School of management for Pearson India & The premia Academy, Hyderabad

Exhibit 19: BB Virtual's Core Team

CA Bhanwar Borana

CEO, Veranda K-12

15+ years of experience in setting up & managing k-12 school operations. Previously worked with School of management for Pearson India & The premia Academy, Hyderabad

CA Shubham Keshwani

CEO, Veranda K-12

15+ years of experience in setting up & managing k-12 school operations. Previously worked with School of Management for Pearson India & The premia Academy, Hyderabad

CA Akash Kandoi

CEO, Veranda K-12

15+ years of experience in setting up & managing k-12 school operations. Previously worked with School of management for Pearson India & The premia Academy, Hyderabad

- **All acquired commerce brands to continue under original founders (ages 36-66) with decades of operational experience (JKSC: 42 years, Logic: 21+, Tapasya: 22+, Navkar: 28+, BB Virtual: 10-12).**

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SMART SYNC SERVICES

Smart Sync Services
F-106,Shreedhar Aurum,
Near Shivalay Parisar,
Village Kudasan,
Gandhinagar,Gujarat – 382004
+91- 7016659985, 9099956002
www.smartsyncservices.com